THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

COMPANY PETITION NO. CAA-111 (PB)/ 2018

Under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of:

Scheme of Amalgamation

of

Great Avenue Estates Private Limited

Transferor Company No.1

AND

Sacheti Estates Private Limited

Transferor Company No.2

AND

Esarem Renewable Energy Private Limited

Transferor Company No.3

WITH

Esarem Technologies Private Limited

Transferee Company

Judgment delivered on: 22.04.2019

CORAM:

CHIEF JUSTICE (RTD.) M.M. KUMAR

HON'BLE PRESIDENT

Mr. S. K. MOHAPATRA,

HON'BLE MEMBER (T)

For Petitioners : Mr. Ashish Middha, Adv.

For OL : Ms. Swati Kaushal, Adv.

For Regional Director, (NR), Delhi : Mr. C. Balooni, CP

ORDER

S. K. Mohapatra, Member

1. This Joint application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as the "Scheme") of all the Transferor Companies into the Transferee Company. The copy of the Scheme has been placed on record.

2. The "Transferor Company no.1", Great Avenue Estates Private Limited was incorporated on 14.02.2005 under the provisions of companies Act 1956, having its registered office situated at D-115, First Floor, Defence Colony, New Delhi – 110024.

3. The "Transferor Company no.2", Sancheti Estates Private Limited was incorporated on 03.09.2004 under the provisions of companies Act 1956, having its registered office

situated at D-115, First Floor, Defence Colony, New Delhi – 110024.

4. The "Transferor Company no.3", Esarem Renewable Energy Private Limited was incorporated on 17.03.2010 under the provisions of companies Act 1956, having its registered office situated at D-115, First Floor, Defence Colony, New Delhi – 110024.

5. The "Transferee Company", Esarem Technologies Private Limited was incorporated on 24.11.1986 under the companies Act, 1956, having its registered office situated at D-115, First Floor, Defence Colony, New Delhi – 110024

6. A perusal of the petition discloses that initially the First Motion application seeking dispensation from convening the meeting of Shareholders and Creditors was filed before this Bench bearing number CA (CAA) No. 75 (PB) 2018 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Petitioner Companies were dispensed with, vide order dated 04.07.2018 passed by this Bench.

7. Subsequently, on 08.10.2018 the Petitioners were directed to carry out publication in the newspapers 'Business Standard' English Delhi edition as well as in 'Jansatta' Hindi Delhi edition. In addition to the public notice, notices were directed to be served on to the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to other relevant sectoral regulators.

8. It is seen from the records that the Petitioners have filed an affidavit dated 11.01.2019 affirming compliance of the order passed by the Tribunal dated 08.10.2018. A perusal of the affidavit discloses that the petitioners have effected the newspaper publication as directed in one issue of the 'Business Standard' English edition on 23.11.2018 as well as in 'Jansatta' Hindi edition again on 23.11.2018 in relation to the date of hearing of the petition.

9. Further, the petitioners have also filed an affidavit dated 27.09.2018 confirming that copies of petition have been duly served to the Registrar of Companies, Regional Director, Northern Region, Official Liquidator and Income Tax Department in compliance of the order and in proof of the

same acknowledgement made by the respective offices have also been placed on record. It has also been affirmed that there is no other sectoral regulator applicable to the petitioner companies.

10. The Regional Director has filed its representation dated 17.01.2019 in which it is submitted that the transferee company has to comply with the provisions of Section 232(3) (i) of the Companies Act, 2013.

11. In response to the aforesaid submission of Regional Director, the transferee company has filed an undertaking by way of affidavit dated 29.01.2019 confirming that the transferee company will pay the applicable fee, if any, on its revised authorized share capital subsequent to the amalgamation, as per Section 232(3) (i) of the Companies Act, 2013. In view of the undertaking filed by the transferee company the observation raised by the Regional Director stands satisfied.

12. The Official Liquidator has filed its report dated 17.01.2019 wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the Official Liquidator has not received any

complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

13. Despite due opportunity afforded to the Department of Income Tax, no reply has been filed by the Department of Income Tax till date of final hearing. The same fact has been duly reflected in the order dated 25.03.2019 passed by this Bench. Be that as it may, in order to protect the interest of the Revenue it is clarified that there shall be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues, including imposition of penalties etc. as provided in law.

14. It pertinent to note that at the time of final hearing on 25.03.2019, Ld. Counsels on behalf of the Regional Director and Official Liquidator have not raised any objection against the Scheme.

15. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions

of Companies Act, 1956 is pending against the Petitioner Companies.

16. Certificates of respective Statutory auditors of all the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

17. The shareholders of the applicant companies are the best Judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme of which sanction is sought under Section 230-232 of the Companies Act of 2013 will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

18. In the case of Hindustan Lever Employees Union Vs. Hindustan Lever Limited (1995) 5 SCC 491 the three Judges Bench of Hon'ble Supreme Court held that:

'A company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process.'

19. Right to apply for the sanction of the Scheme has been statutorily provided under Section 230-234 of the Companies Act, 2013 and therefore, it is open to the applicant companies to avail the benefits extended by statutory provisions and the Rules.

20. It has also been affirmed in the petition that Scheme is in the interest of all the transferor companies and the transferee company including their shareholders, creditors, employees and all concerned.

21. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and the report of official liquidator, there

appears to be no impediment in sanctioning the present Scheme.

22. *Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013.*

23. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

24. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

25. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

26. **THIS TRIBUNAL DO FURTHER ORDER**

1. *That all the Transferor Companies shall stand dissolved without following the process of winding-up; and*

2. *That all the property, rights and powers of all the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.*

3. *That all the liabilities and duties of all the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and*

4. *That all proceedings now pending by or against all the Transferor Companies, be continued by or against the transferee company; and*

5. *That all the employees of all the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date.*

6. *That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered all the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to all the Transferor Companies*

registered with him on the file kept by him in relation to the transferee company and the files relating to all the petitioner companies shall be consolidated accordingly; and

7. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

(M.M. KUMAR)

PRESIDENT

22.04.2019

Sd/-

(S.K. MOHAPATRA)

MEMBER(T)